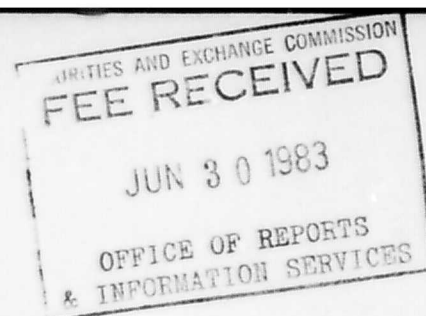




A 690020

SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

Form 10-K



Annual Report Pursuant to Section 13 or 15(d) of
The Securities Exchange Act of 1934

ORIGINAL
S 21-121

For the fiscal year ended March 31, 1983 ✓ Commission file number 0-9864

ANNANDALE CORPORATION (FORMERLY MICROPIN CORPORATION)

(Exact name of registrant as specified in its charter)

California

95-2882527

(State or other jurisdiction of
incorporation of organization)

(I.R.S. Employer
Identification No.)

168 Vista Avenue, Pasadena, California

91107

(Address of principal executive offices)

(ZIP Code)

Registrant's telephone number,
including area code

(213) 449-6431

Securities registered pursuant to Section 12(b) of the Act:

Title of each class

Name of each exchange on
which registered

NONE

Securities registered pursuant to Section 12(g) of the Act:

NONE

(Title of class)

Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.

Yes X

No

Documents Incorporated by Reference

NONE

State the aggregate market value of the voting stock held by nonaffiliates of the registrant - \$12,087,680, as of June 21, 1983.

Indicate the number of shares outstanding of each of the registrant's classes of common stock, as of June 21, 1983.

3,357,920

PART I

Item 1. Business.

Annandale Corporation, formerly Micropin Corporation (hereinafter referred to as "Annandale" or "Company") was incorporated in 1974 under the name "EAD Incorporated". From its inception through 1980 the Company was engaged in the development of a pinball-like amusement device.

Actual production of the device commenced on a limited basis prior to March 31, 1980. The devices were placed in various restaurant cocktail lounges and bars in the Los Angeles area on a revenue-split basis. On April 10, 1981, management elected to suspend production of the Micropin game. It was subsequently decided to permanently terminate production of the Micropin game. During 1981 the Company began purchasing and operating video amusement games produced by other manufacturers.

During the year ended March 31, 1982 the Company acquired all of the outstanding stock of Mobile Engineering ("Elcon"), a manufacturer of video amusement games in Michigan which, based on data supplied to the Company, was operating profitably. Subsequently, Elcon was accused by several major manufacturers of engaging in copyright infringements and the sale of unauthorized games. Because the Company had no prior knowledge of the claims against Elcon and because this material matter was not previously disclosed to the Company and was in violation of the merger agreement, the Company rescinded the acquisition on August 18, 1982.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting services.

On March 28, 1983, a special meeting of shareholders was held to change the principal business of the Company to business and financial consulting services and to change the corporate name to Annandale Corporation. Both of these items were passed and have been put into effect. The services that the five employees of the Company provide include the preparation of business and financial plans and the negotiation and finding of financing through the introduction of qualified financial sources with equity securities as the primary compensation for the Company.

The Company's business, that of providing consulting services, is highly competitive and there are large numbers of consulting companies in existence. The Company is currently experiencing far more business opportunities than it has resources to fulfill and plans to expand its staff, but cautiously.

Item 2. Properties.

The Company leases its principal office in Pasadena, California. The lease expires in 1988. In the opinion of management, the property is in good condition and is adequate for the Company's current and reasonably foreseeable future needs. The Company believes that its equipment is adequate for its operations and that all of such equipment is in good operating order and repair.

Item 3. Legal Proceedings

On August 18, 1982, the Company sent a letter to the owner of Mobile Amusement Engineering, Inc. ("Elcon"), advising him of the Company's decision to rescind the acquisition of Elcon (see note 12). The rescission was rejected by the owner of Elcon.

On August 25, 1982, the Company filed a Complaint for Rescission, Restitution and Damages in the U. S. District Court of the Central District of California naming the owner of Elcon as defendant. In November 1982, the owner of Elcon together with Mobile Amusement Engineering, Inc. and Elcon Industries, Inc. filed an Answer to Complaint and Counterclaim and Demand for jury trial, naming the Company and an officer/director as defendants.

The case is presently in pre-trial and discovery phase with no trial date yet assigned. The Company is confident it has adequate defenses and will prevail in the action; however, the final outcome of the litigation cannot be determined at this time.

On September 20, 1982, Mobile Amusement Engineering Inc. dba Elcon Industries, Inc. ("Elcon") and its owner filed an action against the Company in the U.S. District Court of the Eastern District of Michigan for breach of contract and declaratory release. Plaintiff seeks specific performance of the acquisition agreement. This action was stayed by order of the U.S. District Court, November 9, 1982. The Company has filed no answer and expects that the matter will be disposed of with the action by Annandale against Elcon explained above.

As explained in note 12 in the accompanying financial statements, Elcon is a defendant in three lawsuits. The Company has also been named in one of these actions and counsel has advised that it is possible the Company may become involved in the other two lawsuits. Additionally, the Company is a party to a number of other legal actions arising in the ordinary course of its business.

Management has recorded an estimated liability of \$100,000 to provide for possible losses in the actions discussed above. The liability was recorded as a charge to operations for the year ended March 31, 1983. In the opinion of management, the liability, if any, in excess of the amount provided for will not materially affect the operations or financial position of the Company.

There are no other legal proceedings by or against the Company.

Item 4. Submission of Matters To A Vote Of Security Holders

- a. Special meeting held March 28, 1983
- b. N/A
- c. (1) Change the principal business of the corporation to business and financial consulting services.

Item 4. Submission of Matters To A Vote Of Security Holders - continued

AFFIRMATIVE

NEGATIVE

2,126,873

5,100

- (2) Amendment of the Articles of Incorporation to change the corporate name to Annandale Corporation.

AFFIRMATIVE

NEGATIVE

2,395,044

27,200

PART II

Item 5. Market for the Registrant's Common Stock and Related Security Holder Matters.

(a) Price Range of Common Stock

The following table shows the range of closing bid prices for the Common Stock in the over-the-counter market for the calendar quarters indicated, as reported by NASDAQ. The quotations represent prices in the over-the-counter market between dealers in securities, do not include retail markup, markdown or commission and do not necessarily represent actual transactions.

	Bid Prices	
	High	Low
Second quarter 1981	2 7/8	2
Third quarter 1981	1 7/8	1 1/8
Fourth quarter 1981	1 5/8	7/8
First quarter 1982	2 1/8	1 1/2
Second quarter 1982	1 7/8	1 3/8
Third quarter 1982	1 3/8	3/4
Fourth quarter 1982	1 1/2	5/8
First quarter 1983	2 3/8	1

(b) Approximate Number of Holders of Common Stock

The Approximate number of holders of record of Micropin's Common Stock as of February 25, 1983 is 1,000. (1)

- (1) Included in the number of stockholders of record are shares held in the "nominee" or "street" name.

Item 5. Market for the Registrant's Common Stock and Related Security Holder Matters - Continued

(c) Dividends

The Common Stock, no par value, is the only class of stock authorized by the Company. Except as noted below with respect to shares held by Messrs. Heinrich and Stewart, holders of Common Stock are entitled to receive dividends when and as declared by the Board of Directors from the funds legally available for that purpose. The Company has not paid any dividends and currently has no plans to pay dividends in the future.

The shares held by Messrs. Heinrich and Stewart are not entitled to participate in dividends or other distributions to shareholders, if any until certain restrictions imposed by the California Commissioner of Corporations are removed. Such restrictions and conditions imposed by the Commissioner of Corporations would ordinarily be removed when justified by the operating results of the Company.

Item 6. Selected Financial Data

	Years Ended March 31				
	1983	1982	1981	1980	1979
Operating revenues	\$ 288,119	\$ 657,190	\$ 42,217	\$ -	\$ -
Interest and other income	335,566	355,357	145,681	15,292	14,629
Operating expenses	1,809,296	1,040,228	973,101	726,046	249,288
Loss from continuing operations	1,185,611	27,681	785,403	710,954	234,796
Loss per share from continuing operations	.33	.01	.34	.42	.15
Loss (income) from discontinued operations	237,217	(85,941)	-	-	-
Total assets	2,420,583	4,944,367	3,717,259	319,777	225,230

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Liquidity and Capital Resources

During the fiscal year ended March 31, 1981 the Company was in the development stage and its financing came entirely from equity sources. During 1981 the Company consummated a public offering of its common stock and became an operating entity.

The acquisition and subsequent rescission of Mobile Amusement Engineering, Inc. doing business as Elcon Industries, Inc. ("Elcon"), (see note 12 in the accompanying financial statements) supplied a profit of \$85,941 for fiscal year ended March 31, 1982, but resulted in an ultimate loss on disposal of \$132,264 or \$.04 per share, which includes all anticipated losses subsequent to June 30, 1982. This rescission also resulted in decreases in accounts receivable and inventory of approximately \$950,000 and a decrease in payables of \$540,000 during the current year.

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations - Continued

Because the Elcon acquisition was rescinded in August, 1982, the 1982 figures have been restated to show the profit relating to Elcon as a \$85,941 income from discontinued operations. The Annandale revenue resulted from amusement game revenues of approximately \$357,000 and consulting fees of \$300,000 resulting in a \$383,000 operating loss from continuing operations before interest income. Interest income (net of interest expense) was approximately \$355,000.

Due to the steadily decreasing video game market, the Board of Directors elected to dispose of the Company's video game interests and concentrate full-time efforts on business and financial consulting during the year ended March 31, 1983. The loss from the disposal of video game assets was approximately \$93,000. As there was little or no current market for the Micropin game machine assets, it was decided in order to give the fairest representation of the Company's financial condition, to write off these assets which resulted in a loss of approximately \$815,000. As described in note 14 in the accompanying financial statements, the Company recorded as a charge to operating expenses an estimated litigation liability of \$100,000. These charges are the significant factors in the increase in operating expenses and loss from continuing operations during 1983. The current inflation rate has had no significant impact on the Company's operations.

The disposal of the subsidiary resulted in a loss of \$237,217 from discontinued operations. The year ending March 31, 1983, has been an unusual one for the Company with the disposals taking place, but one that ended in a positive direction after the special meeting of shareholders on March 28, 1983. It was voted to change the principal business of the corporation to business and financial consulting services.

The management of the Company expects to report a profit in the upcoming fiscal year as a result of the above described changes.

Item 8. Financial Statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

BALANCE SHEET

MARCH 31, 1983 AND 1982

ASSETS

	<u>1983</u>	<u>1982</u>
Current assets		
Cash	\$ 79,701	\$ 161,025
Marketable securities (notes 1 and 2)	1,047,854	1,125,000
Accounts receivable, net of allowance for doubtful accounts of \$58,000 in 1982	-	458,808
Receivables from officers and stockholders	-	7,200
Interest receivable	38,799	39,078
Inventories (notes 1 and 3)	-	505,273
Notes receivable - current portion (notes 5 and 11)	705,469	-
Prepaid expenses and other assets	<u>33,249</u>	<u>39,007</u>
Total current assets	<u>1,905,072</u>	<u>2,335,391</u>
Fixed assets (note 1)		
Furniture and fixtures	24,424	58,832
Machinery and equipment	26,502	77,293
Transportation equipment	20,894	27,997
Electronic video games	-	271,799
Leasehold improvements	<u>-</u>	<u>12,528</u>
	71,820	448,449
Less accumulated depreciation and amortization	<u>(19,124)</u>	<u>(89,144)</u>
	<u>52,696</u>	<u>359,305</u>
Other assets		
Notes receivable - net of current portion (note 5)	48,965	705,469
Investments (notes 4 and 8)	411,750	300,000
Equipment and materials held for resale (note 6)	-	815,575
Goodwill, net of amortization (notes 1 and 12)	-	364,889
Deferred charges and other assets	<u>2,100</u>	<u>63,738</u>
	<u>462,815</u>	<u>2,249,671</u>
	<u>\$ 2,420,583</u>	<u>\$ 4,944,367</u>

The accompanying notes are an integral
part of these financial statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

BALANCE SHEET

MARCH 31, 1983 AND 1982

LIABILITIES AND SHAREHOLDERS' EQUITY

	<u>1983</u>	<u>1982</u>
Current liabilities		
Accounts payable	\$ 3,985	\$ 386,346
Accrued bonus (note 8)	50,000	-
Other accrued expenses	5,781	20,478
Estimated litigation liability (note 14)	100,000	-
Notes payable (note 7)	-	171,086
Equipment contracts payable	-	20,362
Total current liabilities	<u>159,766</u>	<u>598,272</u>
Commitments and contingencies (notes 12, 14 and 15)		
Shareholders' equity		
Common stock, no-par value - 5,000,000 shares authorized; 3,393,920 and 3,895,120 shares issued at March 31, 1983 and 1982, respectively, including 36,000 shares held in treasury (note 9)	6,150,542	6,812,792
Accumulated deficit	<u>(3,889,725)</u>	<u>(2,466,697)</u>
Total shareholders' equity	<u>2,260,817</u>	<u>4,346,095</u>
	<u>\$ 2,420,583</u>	<u>\$ 4,944,367</u>

The accompanying notes are an integral
part of these financial statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

STATEMENT OF OPERATIONS

THREE YEARS ENDED MARCH 31, 1983

	<u>1983</u>	<u>1982</u>	<u>1981</u>
Revenues			
Sales, net	\$ 177,869	\$ 357,190	\$ 42,217
Consulting fees (note 4)	110,250	300,000	-
Interest, net	230,320	355,357	145,681
Gain on sale of marketable securities	105,246	-	-
	<u>623,685</u>	<u>1,012,547</u>	<u>187,898</u>
Costs and expenses			
Cost of sales	176,585	154,161	17,011
Loss on equipment and materials held for resale	815,575	-	-
Provision for doubtful notes receivable (note 5)	50,000	-	-
Selling, general and administrative expenses	767,136	886,067	969,056
	<u>1,809,296</u>	<u>1,040,228</u>	<u>986,067</u>
Loss from continuing operations before provision for income taxes	(1,185,611)	(27,681)	(798,169)
California franchise taxes	200	200	200
Loss from continuing operations	<u>(1,185,811)</u>	<u>(27,881)</u>	<u>(798,369)</u>
Discontinued operations (note 12)			
Income (loss) before extraordinary item from operation of subsidiary (less applicable income taxes of \$15,800 in 1982)	(104,953)	85,941	-
Loss on disposal of subsidiary	<u>(132,264)</u>	<u>-</u>	<u>-</u>
Income (loss) from discontinued operations	<u>(237,217)</u>	<u>85,941</u>	<u>-</u>
Income (loss) before extraordinary item	(1,423,028)	58,060	(798,369)
Extraordinary item - tax benefit resulting from utilization of tax loss carryforward	<u>-</u>	<u>13,609</u>	<u>-</u>
Net Income (Loss)	<u><u>\$ (1,423,028)</u></u>	<u><u>\$ 71,669</u></u>	<u><u>\$ (798,369)</u></u>
Income (loss) per share based on weighted average number of shares outstanding (note 1)			
Continuing operations	\$ (.334)	\$ (.008)	\$ (.340)
Discontinued operations	<u>(.066)</u>	<u>.025</u>	<u>-</u>
Before extraordinary item	<u><u>\$ (.400)</u></u>	<u><u>\$.017</u></u>	<u><u>\$ (.340)</u></u>
Net Income (Loss)	<u><u>\$ (.400)</u></u>	<u><u>\$.020</u></u>	<u><u>\$ (.340)</u></u>
Weighted average number of shares outstanding	<u><u>3,546,520</u></u>	<u><u>3,484,120</u></u>	<u><u>2,345,842</u></u>

The accompanying notes are an integral part of these financial statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

STATEMENT OF SHAREHOLDERS' EQUITY

THREE YEARS ENDED MARCH 31, 1983

	<u>Common Stock (note 9)</u>		<u>Accumulated</u>	
	<u>Shares</u>	<u>Amount</u>	<u>Deficit</u>	<u>Total</u>
Balance, March 31, 1980	1,798,700	\$ 1,902,000	\$(1,739,997)	\$ 162,003
Shares issued at \$5 per share	69,000	345,000	-	345,000
Shares issued as bonuses to key employees	10,000	50,000	-	50,000
Shares issued for employee recruiting services	3,920	19,600	-	19,600
Shares issued for finders services	6,500	-	-	-
Shares issued at \$3 per share in partial payment of interest on a note	7,000	21,000	-	21,000
Shares issued in public offering	1,500,000	3,818,942		3,818,942
Net loss - year ended March 31, 1981	-	-	(798,369)	(798,369)
Balance, March 31, 1981	3,395,120	6,156,542	(2,538,366)	3,618,176
Shares to be issued in connection with acquisition of subsidiary (note 12)	500,000	656,250	-	656,250
Net income - year ended March 31, 1982	-	-	71,669	71,669
Balance, March 31, 1982	3,895,120	6,812,792	(2,466,697)	4,346,095
Rescission of agreement to acquire subsidiary (note 12)	(500,000)	(656,250)	-	(656,250)
Retirement of shares issued at \$5 per share	(1,200)	(6,000)	-	(6,000)
Net loss - year ended March 31, 1983	-	-	(1,423,028)	(1,423,028)
Balance, March 31, 1983	<u>3,393,920</u>	<u>\$6,150,542</u>	<u>\$(3,889,725)</u>	<u>\$ 2,260,817</u>

The accompanying notes are an integral part of these financial statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

STATEMENT OF CHANGES IN FINANCIAL POSITION

THREE YEARS ENDED MARCH 31, 1983

	<u>1983</u>	<u>1982</u>	<u>1981</u>
Working capital was applied to:			
Continuing operations:			
Loss before extraordinary item	\$ 1,185,811	\$ 27,881	\$ 798,369
Items not (requiring) providing working capital:			
Depreciation and amortization	(66,611)	(65,036)	(21,143)
Consulting fees	110,250	300,000	-
Write-off of material and equipment held for resale	(815,575)	-	-
Loss from disposal of fixed assets	(93,411)	-	-
Working capital applied to continuing operations	<u>320,464</u>	<u>262,845</u>	<u>777,226</u>
Discontinued operations (note 12):			
(Income) loss	104,953	(85,941)	-
Loss on disposal of subsidiary	132,264	-	-
Items not (requiring) working capital:			
Depreciation and amortization	-	(3,641)	-
Working capital applied to (provided by) discontinued operations	<u>237,217</u>	<u>(89,582)</u>	<u>-</u>
Total working capital applied to operations before extraordinary item	557,681	173,263	777,226
Extraordinary item	<u>-</u>	<u>(13,609)</u>	<u>-</u>
Total working capital applied to operations	557,681	159,654	777,226
Purchase of fixed assets	50,560	307,157	23,478
Increase in notes receivable	48,965	705,469	-
Increase in equipment and materials held for resale	-	38,588	534,158
Non-current assets of Company acquired (note 12):			
Excess of cost over values assigned	-	367,184	-
Fixed assets	-	74,681	-
Deferred charges	-	61,638	-
Common stock reacquired in connection with discontinuance of subsidiary (note 12)	656,250	-	-
Other	<u>6,000</u>	<u>1,100</u>	<u>1,000</u>
Total working capital applied	<u>1,319,456</u>	<u>1,715,471</u>	<u>1,335,862</u>

The accompanying notes are an integral part of these financial statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

STATEMENT OF CHANGES IN FINANCIAL POSITION

THREE YEARS ENDED MARCH 31, 1983

	<u>1983</u>	<u>1982</u>	<u>1981</u>
Working capital was provided by:			
Issuance of common stock	\$ -	\$ -	\$ 4,254,542
Common stock issued in acquisition of subsidiary (note 12)	-	656,250	-
Proceeds from disposal of fixed assets	124,607	21,617	-
Disposal of assets of discontinued subsidiary (note 12):			
Goodwill	364,889	-	-
Fixed assets	71,040	-	-
Deferred charges	61,638	-	-
Reduction of non-current notes receivable	705,469	-	-
Total working capital provided	<u>1,327,643</u>	<u>677,867</u>	<u>4,254,542</u>
Increase (Decrease) In Working Capital	<u>\$ 8,187</u>	<u>\$(1,037,604)</u>	<u>\$ 2,918,680</u>
Increase (decrease) in working capital consisted of the following:			
Cash and marketable securities	\$ (158,470)	\$(1,543,166)	\$ 2,821,302
Accounts receivable	(458,808)	451,047	7,761
Receivable from officers and shareholders	(7,200)	(3,028)	10,228
Interest receivable	(279)	22,711	16,367
Inventories	(505,273)	505,273	-
Prepaid expenses and other assets	(5,758)	28,748	4,331
Notes receivable	705,469	-	-
Accounts payable	382,361	(316,829)	83,067
Accrued expenses	(35,303)	9,088	(24,376)
Estimated litigation liability	(100,000)	-	-
Notes payable	171,086	(171,086)	-
Equipment contracts payable	20,362	(20,362)	-
Increase (Decrease) In Working Capital	<u>\$ 8,187</u>	<u>\$(1,037,604)</u>	<u>\$ 2,918,680</u>

The accompanying notes are an integral part of these financial statements.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Company history - Annandale Corporation (formerly Micropin Corporation) (the "Company") was engaged in the development of an electronic game (the "Micropin game") from its inception in April 1974, through actual production which began during the year ended March 31, 1980. Production continued until the Company decided to terminate manufacture of the Micropin game on April 10, 1981 (see note 6). The Company continued to operate the Micropin games on a limited basis in various locations throughout Southern California on a revenue-split basis. Additionally, during the year ended March 31, 1982, the Company purchased and began operating various electronic video games on a revenue-split basis. During the year ended March 31, 1983, the Company discontinued all game operations and all assets relating to these activities were sold or written off.

During the year ended March 31, 1982, the Company acquired all of the outstanding stock of Mobile Engineering, Inc., dba Elcon Industries, Inc., a manufacturer of electronic video games. As more fully described in note 12, the Company rescinded the acquisition in August 1982.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting activities (see notes 4, 5 and 8). In March 1983, the shareholders voted to change the name of the Company to Annandale Corporation and change the Company's operations to financial and business consulting.

Fixed assets - Furniture and fixtures, machinery and equipment, transportation equipment, electronic video games, and leasehold improvements are recorded at cost. Depreciation and amortization are provided primarily on the straight-line method over the estimated useful lives of the related assets.

Major renewals and betterments are capitalized. Maintenance and repairs are expensed as incurred. When fixed assets are retired or otherwise disposed of, the related cost and accumulated depreciation are removed from the accounts. Gains and losses from retirement or disposal of fixed assets are credited or charged to income.

Goodwill - The excess of cost over fair value of net assets of a purchased subsidiary was recorded as goodwill and amortized on a straight-line basis over 40 years in the year ended March 31, 1982. The Company rescinded the acquisition on August 18, 1982 (see note 12).

Inventories - Inventories are valued at the lower of cost (first-in, first-out method) or market.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - continued

Marketable securities - Marketable securities consist of certificates of deposit and U. S. Government securities. At March 31, 1982, marketable securities were recorded at cost which approximated market. Marketable securities were written down to market value by a charge to operations of \$17,482 at March 31, 1983.

Investment tax credits - Investment tax credits are accounted for using the flow-through method.

Reclassifications - Certain reclassifications have been made to the prior years' financial statements to conform to current year presentation.

Income (loss) per share - Income (loss) per share of common stock is based upon the weighted average number of shares outstanding during each period (see note 9).

2. MARKETABLE SECURITIES

At March 31, 1983 and 1982, a \$125,000 certificate of deposit is pledged as collateral for an open letter of credit.

3. INVENTORIES

Inventories consist primarily of video amusement game components. At March 31, 1982, these inventories consist of the following:

Raw materials	\$ 427,370
Work in process	<u>77,903</u>
	<u>\$ 505,273</u>

4. INVESTMENTS

Investments consist of common stock received or to be received from various companies primarily as compensation for consulting services. The shares were valued at their estimated fair market value at the date earned and do not exceed estimated net realizable value.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

5. NOTES RECEIVABLE

Notes receivable consist of the following:

	<u>March 31, 1983</u>	<u>March 31, 1982</u>
Subordinated note receivable from Alphacom, Inc., due November 15, 1983 with interest at 15% payable quarterly commencing May 11, 1982 (see note 11).	\$ 538,973	\$ 538,973
Subordinated convertible note receivable from Financial News Broadcasting Company, parent company of Financial News Network, Inc., with principal and interest at 15% due on or before June 30, 1983. Any unpaid principal and interest may be converted to common stock at the rate of \$10 per share through June 30, 1983. The stock is not registered under the Securities Act of 1933.	166,496	166,496
Subordinated convertible note receivable from Innovative Entertainment, Inc., due October 1, 1987, with interest at 12% payable monthly. Any unpaid principal and interest may be converted to common stock at any time prior to repayment. The stock is not registered under the Securities Act of 1933.	98,965	-
	804,434	705,469
Less current portion	<u>(705,469)</u>	<u>-</u>
	98,965	705,469
Less allowance for doubtful notes receivable	<u>(50,000)</u>	<u>-</u>
	<u>\$ 48,965</u>	<u>\$ 705,469</u>

6. EQUIPMENT AND MATERIALS HELD FOR RESALE

On April 10, 1981, management elected to suspend production of the Micropin game. At the time, the purpose of the action was to allow the Company the opportunity to design certain modifications to the game which, in the opinion of management, would increase its marketability. The Company subsequently decided to permanently terminate production of the Micropin game and sell all completed games, materials and rights to manufacture and market the game.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

6. EQUIPMENT AND MATERIALS HELD FOR RESALE - continued

At March 31, 1982, the Micropin game, equipment and materials were carried at cost and management was attempting to locate a qualified buyer and consummate the sale of the assets and rights referred to above. The Company was unable to sell the assets because the market declined significantly subsequent to March 31, 1982. Consequently, in December 1982, the equipment and material were written off as a charge to operations.

7. NOTES PAYABLE

Notes payable at March 31, 1982, consist of the following:

Note payable to former shareholder with principal and interest at 15% due October 1, 1982.	\$ 146,086
--	------------

Note payable on demand with interest at 24%. Interest only payments of \$500 are due monthly.	<u>25,000</u>
	<u>\$ 171,086</u>

8. ACCRUED BONUS

Under an agreement dated March 22, 1982, the Company was to receive 150,000 shares of common stock of Financial News Network, Inc. (a development stage company), as compensation for consulting services (see note 4). As a result of subsequent negotiations, it was agreed that the Company will receive 200,000 shares of common stock of Financial News Network, Inc., rather than 150,000 shares. The shares to be received are not registered under the Securities Act of 1933.

The Board of Directors granted a bonus of 25,000 shares of the above-mentioned additional 50,000 shares of stock to an officer of the Company. The bonus is payable when the Company receives the aforementioned 200,000 shares and complies with such legal requirements as may be necessary to effect their transfer. Accordingly, a bonus of \$50,000 has been accrued, based on the estimated fair market value of the stock at the date the bonus was granted.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

9. SHAREHOLDERS' EQUITY

Promotional shares and treasury stock - Two officers/shareholders relinquished a total of 36,000 shares of common stock as a condition of the stock issued in 1976. These shares are currently held as treasury stock. In addition, the remaining 464,000 shares held by these same shareholders are subject to other restrictions imposed by the California Department of Corporations. Such restrictions include a waiver of the right to share in dividends and the right to participate in any distribution of assets in the event of liquidation. The California Corporation Commissioner may remove these restrictions when the Company has demonstrated a satisfactory earnings record.

Stock option plans - The Company has provided options to purchase shares of its common stock to certain officers, directors, key employees and consultants pursuant to its "1978 Stock Option Plan" and its "1981 Stock Option Plan". The maximum number of shares issuable under the two plans is limited to the lesser of 400,000 shares or 10% of the total number of shares of outstanding common stock. The terms of the two plans are substantially the same. Activity under the two plans for each of the three years in the period ended March 31, 1983, is summarized as follows:

	Shares Under Option		
	1983	1982	1981
Options outstanding, beginning of year	197,000	149,200	97,600
Options granted during the year	16,000	165,500	72,200
Options cancelled during the year	(106,000)	(117,700)	(20,600)
Options Outstanding, End of Year	<u>107,000</u>	<u>197,000</u>	<u>149,200</u>
Options Exercisable, End of Year	<u>41,125</u>	<u>24,125</u>	<u>41,500</u>

At March 31, 1983, 1982, and 1981, there were 228,792, 188,912, and 183,112 shares, respectively, available for future grants.

Options to purchase 20,000 shares issued during the fiscal year ended March 31, 1980, became 100% exercisable at the end of one year. All remaining options become exercisable at the rate of 25% a year beginning one year from the date of grant. All options expire five years from the date of grant. The option price on options granted to date ranges from \$1 to \$5 per share.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

9. SHAREHOLDERS' EQUITY - continued

Transactions with respect to options are recorded in the accounts only as the options are exercised.

Common stock purchase warrants - The Company has issued common stock purchase warrants for 150,000 shares of common stock at \$3.60 per share. The warrants are non-transferable and may not be exercised until one year after the date of issuance. The warrants are exercisable any time through October 1985. The total aggregate purchase price is \$540,000.

Unissued common stock - Effective January 1, 1982, the Company agreed to purchase 100% of the outstanding stock of Mobile Engineering, Inc., dba Elcon Industries, Inc. in exchange for 500,000 shares of the Company's common stock. Although the shares had not actually been issued at March 31, 1982, the financial statements as of that date were prepared as though the shares were issued and outstanding. As explained in note 12, the Company rescinded the agreement on August 18, 1982. The 500,000 shares for the acquisition have never been issued and because of the rescission, the Company does not intend to issue such shares. Accordingly, the number of shares outstanding at March 31, 1983, has been reduced by 500,000 shares to reflect the rescission of the purchase agreement.

10. INCOME TAXES

At March 31, 1983, for Federal income tax purposes, the Company had net operating loss and investment tax credit carryforwards as follows:

<u>Expiration Date</u>	<u>Net Operating Losses</u>	<u>Investment Tax Credits</u>
1992	\$ 259,845	\$ 247
1993	284,399	-
1994	232,116	1,383
1995	710,888	5,104
1996	798,369	1,370
1997	-	501
	<u>\$ 2,285,617</u>	<u>\$ 8,605</u>

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

10. INCOME TAXES - continued

Net operating loss carryforwards available to reduce future taxable income are to be recognized for financial reporting purposes during the periods in which they are realized.

Income from operations of the subsidiary for the year ended March 31, 1982, is net of Federal income taxes of \$13,609 and state income taxes of \$2,191. The effective rate of 21.3% in 1982 differs from the statutory Federal rate of 46% principally because of the effect of the surtax exemption.

11. NOTE RECEIVABLE FROM ALPHACOM, INC.

On May 14, 1981, the Company loaned Alphacom, Inc., an unrelated company ("Alphacom"), the sum of \$500,000 in cash in exchange for a 15% subordinated convertible note ("note"). On February 25, 1982, the note was renegotiated and a new note was issued. Under the terms of the new note, the Company received \$20,000 as partial payment for accrued interest through that date. The remaining accrued interest of \$38,973 was included in the principal of the new note. The new note has a principal balance of \$538,973 with interest at 15% per annum and is payable in full on November 15, 1983. Interest is payable quarterly beginning May 11, 1982 until the note is paid in full. The note is unsecured and is subordinated to indebtedness of all institutional creditors of Alphacom. The Company received warrants to purchase up to 210,000 shares of Alphacom common stock at \$2.10 per share for services rendered and providing the loan. The warrants are exercisable at any time through June 30, 1986. In addition, the Company is to receive 200,000 shares of Alphacom common stock. The warrants and common stock were recorded at their estimated fair market value.

Alphacom was formed in December 1979, and has incurred substantial operating losses since its inception. Approximately \$4,700,000 in long-term debt was reported by Alphacom at February 28, 1983, the end of its most recent fiscal year. In March 1983, Alphacom exchanged \$1,750,000 of long-term debt for preferred shares and issued additional shares for \$5,500,000 in cash. The proceeds from the sale of the preferred shares was used to retire an additional \$1,250,000 in long-term debt. Giving effect to these transactions as of February 28, 1983, Alphacom has a shareholders' equity of approximately \$3,400,000 and a positive working capital of approximately \$3,350,000. As a result of the foregoing transactions and new credit lines obtained by Alphacom in March 1983, the note is considered fully collectible.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

12. DISCONTINUED OPERATIONS

Effective January 1, 1982, Annandale Corporation agreed to purchase all of the outstanding stock of Mobile Amusement Engineering, Inc., dba Elcon Industries, Inc. ("Elcon"), a manufacturer of video amusement games. Under the terms of the acquisition agreement, the former shareholder of Elcon was to receive 500,000 shares of Annandale's common stock (aggregate market value \$656,250), 170,000 shares and warrants to purchase up to 250,000 shares contingently issuable upon the earnings of Elcon during the year ending March 31, 1983. Although the 500,000 shares had not actually been issued, the financial statements for the year ended March 31, 1982, were prepared as though the shares were issued and outstanding at that time.

Elcon is a defendant in three lawsuits filed on April 22, 1982, May 12, 1982, and July 1, 1982, seeking unspecified damages. These lawsuits were filed by major manufacturers of video games and allege copyright infringement, patent infringement, trademark infringement and unfair competition. Prior to August 1982, management believed that Elcon had adequate defenses against the lawsuits and that they would not result in any material liability to Elcon. During August 1982, management learned that Elcon's defenses against the lawsuits were significantly weaker than previously believed and that the liability arising from the suits could be material. The Company had no knowledge of the unasserted claims against Elcon at the date it agreed to purchase all of its outstanding stock. Accordingly, the Company rescinded the acquisition on August 18, 1982, and filed a complaint for rescission on August 25, 1982 (see note 14). The Company is no longer affiliated with Elcon.

The rescission has been accounted for as a discontinued operation. Results of operations of Elcon have been included in the statement of operations through June 30, 1982. Subsequent financial information relating to Elcon is not available. The loss on disposal of Elcon of \$132,264, or \$.04 per share, includes all anticipated losses subsequent to June 30, 1982. Net sales of Elcon for 1983 and 1982 were \$488,965 and \$861,525, respectively. These amounts are not included in net sales in the accompanying statement of operations.

13. INDUSTRY SEGMENT INFORMATION

See note 1 - Company History, for a description of the industries in which the Company operates. Identifiable assets are those assets which are used in the Company's operations in each industry segment. General corporate assets consist primarily of cash and marketable securities.

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

13. INDUSTRY SEGMENT INFORMATION - continued

Industry segment information:

1983	Industry		General	Total
	Games	Consulting	Corporate	
Revenues	\$ 177,869	\$ 229,746	\$ 216,070	\$ 623,685
Depreciation and amortization	\$ 49,950	\$ 10,000	\$ 6,661	\$ 66,611
Income (loss) from continuing operations	\$(1,321,122)	\$ 87,867	\$ 47,444	\$(1,185,811)
Capital expenditures	\$ 26,030	\$ 22,545	\$ 1,985	\$ 50,560
Identifiable assets at March 31, 1983	\$ 50,465	\$ 1,177,249	\$ 1,192,869	\$ 2,420,583
1982				
Revenues	\$ 357,190	\$ 382,206	\$ 273,151	\$ 1,012,547
Depreciation and amortization	\$ 49,010	\$ 9,436	\$ 6,590	\$ 65,036
Income (loss) from continuing operations	\$ (293,334)	\$ 148,383	\$ 117,270	\$ (27,681)
Capital expenditures	\$ 335,189	\$ 3,042	\$ 2,475	\$ 340,706
Identifiable assets at March 31, 1982	\$ 1,082,113	\$ 1,033,932	\$ 1,376,519	\$ 3,492,564
Assets of Elcon (note 12)				1,451,803
Total Assets at March 31, 1982				\$ 4,944,367

ANNANDALE CORPORATION
(FORMERLY MICROPIN CORPORATION)

NOTES TO FINANCIAL STATEMENTS

14. LITIGATION

On August 18, 1982, the Company sent a letter to the owner of Mobile Amusement Engineering, Inc. ("Elcon"), advising him of the Company's decision to rescind the acquisition of Elcon (see note 12). The rescission was rejected by the owner of Elcon.

On August 25, 1982, the Company filed a Complaint for Rescission, Restitution and Damages in the U. S. District Court of the Central District of California naming the owner of Elcon as defendant. In November 1982, the owner of Elcon together with Mobile Amusement Engineering, Inc. and Elcon Industries, Inc. filed an Answer to Complaint and Counterclaim and Demand for jury trial, naming the Company and an officer/director as defendants.

The case is presently in pre-trial and discovery phase with no trial date yet assigned. The Company is confident it has adequate defenses and will prevail in the action; however, the final outcome of the litigation cannot be determined at this time.

On September 20, 1982, Mobile Amusement Engineering Inc. dba Elcon Industries, Inc. ("Elcon") and its owner filed an action against the Company in the U.S. District Court of the Eastern District of Michigan for breach of contract and declaratory release. Plaintiff seeks specific performance of the acquisition agreement. This action was stayed by order of the U.S. District Court, November 9, 1982. The Company has filed no answer and expects that the matter will be disposed of with the action by Annandale against Elcon explained above.

As explained in note 12, Elcon is a defendant in three lawsuits. The Company has also been named in one of these actions and counsel has advised that it is possible the Company may become involved in the other two lawsuits. Additionally, the Company is a party to a number of other legal actions arising in the ordinary course of its business.

Management has recorded an estimated liability of \$100,000 to provide for possible losses in the actions discussed above. The liability was recorded as a charge to operations for the year ended March 31, 1983. In the opinion of management, the liability, if any, in excess of the amount provided, will not materially affect the operations or financial position of the Company.

PART III

Item 9. (Not applicable)

Item 10. Directors and Executive Officers of the Registrant

The following information as of March 31, 1983 is furnished with respect to each director and executive officer:

<u>Name of Director</u>	<u>Age</u>	<u>Year first elected as director</u>	<u>Term Expires</u>	<u>Position with Company</u>
R. Bruce Stewart	46	1974	6/83	President, Treasurer and Director
William F. Rinehart	58	1981	6/83	Secretary
Thomas R. Spiel	48	1974	6/83	Director
F. Rigdon Currie	49	1981	6/83	Director

FAMILY RELATIONSHIPS

There are no family relationships among the officers listed, and there are no arrangements or understandings pursuant to which any of them were elected as officers. All officers hold office for one year and until their successors are elected and qualified, unless otherwise specified by the Board of Directors; provided, however, that any officer is subject to removal with or without cause, at any time, by a vote of majority of the Board of Directors.

BUSINESS EXPERIENCE

Mr. Stewart, age 46, was a business consultant to various individuals and companies, including several engaged in the manufacture and distribution of amusement equipment, from early 1972 until forming the Company with Mr. Heinrich. From mid-1968 to early 1972, when his corporation was sold to Systems Engineering Laboratories, Inc., he was a co-founder and Vice President of Multidata, Inc., a designer and manufacturer of small scientific computers.

Mr. Rinehart, age 58, has been a practicing attorney in Los Angeles for over 27 years and is a partner in the firm of Macdonald, Halsted & Laybourne, counsel to the Company.

Mr. Spiel, age 48, was employed by the McDonalds Restaurants for the past 15 years and is currently owner/operator of 4 McDonald locations.

Mr. Currie, age 49, was vice-president of marketing and sales for the computer division of Atari, Inc. Earlier he was vice-president for marketing and planning of Diablo Systems, a subsidiary of Xerox Corporation.

PART IV

Item 13. Exhibits, Financial Statement Schedules and Reports on Form 8-K

(a) 1. Financial Statements

Included in Part II of this report:

Report of Independent Certified Public Accountants

Statement of Operations for the three years
ended March 31, 1983

Balance Sheet at March 31, 1983 and 1982

Statement of Shareholders' Equity for the three
years ended March 31, 1983

Statement of Changes in Financial Position for
the three years ended March 31, 1983

Notes to Financial Statements

(a) 2. Financial Statements Schedules

Included in Part IV of this report:

Report on Financial Statement Schedules of Independent
Certified Public Accountants

As of March 31, 1983 and 1982

Schedule I-- Marketable Securities

Schedule XIII-- Other Investments

For each of the three years in the period ended March 31, 1983

Schedule V-- Property and Equipment

Schedule VI-- Accumulated Depreciation and Amortization
of Property and Equipment

Schedule VIII-- Valuation and Qualifying Accounts

Other schedules are omitted because of the absence of conditions
under which they are required or because the required information
is given in the financial statements or notes thereto.

(a) 3. Exhibits

None

(b) Reports on Form 8-K

None

ANNANDALE CORPORATION

SCHEDULE I. - MARKETABLE SECURITIES

Column A	Column B	Column C	Column D	Column E
Name of issuer and title of each issue	Number of shares or units - principal amount of bonds and notes	Cost of each issue	Market Value of each issue at balance sheet date	Amount at which each portfolio of equity security issues and each other security issue carried in the balance sheet
March 31, 1983:				
U. S. Government Securities	540,336	\$ 540,336	\$ 522,854	\$ 522,854
Merrill Lynch - Certificates of Deposits	400,000	400,000	400,000	400,000
Lloyds Bank- Certificates of Deposits	125,000	125,000	125,000	125,000
	<u>1,065,336</u>	<u>\$ 1,065,336</u>	<u>\$ 1,047,854</u>	<u>\$ 1,047,854</u>
March 31, 1982:				
Lloyds Bank - Certificates of Deposits	<u>1,125,000</u>	<u>\$ 1,125,000</u>	<u>\$ 1,125,000</u>	<u>\$ 1,125,000</u>

ANNANDALE CORPORATION

SCHEDULE V - PROPERTY AND EQUIPMENT

Column A Classification	Column B Balance at Beginning of Period	Column C Additions at Cost	Column D Retirements	Column E Other Changes Add (deduct)	Column F Balance at End of Period
Year ended March 31, 1983:					
Furniture and Fixtures	\$ 58,832	\$ 6,229	\$ 15,015	\$ (25,622)	\$ 24,424
Machinery and Equipment	77,293	19,572	47,008	(23,355)	26,502
Transportation Equipment	27,997	13,606	14,080	(6,629)	20,894
Video Game Equipment	271,799	11,153	276,405	(6,547)	-
Leasehold Improvements	12,528	-	-	(12,528)	-
	<u>\$ 448,449</u>	<u>\$ 50,560</u>	<u>\$ 352,508</u>	<u>\$ (74,681)(c)</u>	<u>\$ 71,820</u>
Year ended March 31, 1982:					
Furniture and Fixtures	\$ 30,147	\$ 28,685	\$ -	\$ -	\$ 58,832
Electronic Game Equipment	215,437	33,549	-	(248,986)	-
Machinery and Equipment	45,057	32,236	-	-	77,293
Transportation Equipment	13,024	14,973	-	-	27,997
Video Game Equipment	-	293,416(b)	21,617	-	271,799
Leasehold Improvements	-	12,528	-	-	12,528
	<u>\$ 303,665</u>	<u>\$ 415,387</u>	<u>\$ 21,617</u>	<u>\$ (248,986)(d)</u>	<u>\$ 448,449</u>
Year ended March 31, 1981:					
Furniture and Fixtures	\$ 29,670	\$ 477	\$ -	\$ -	\$ 30,147
Electronic Game Equipment	15,100	200,337(a)	-	-	215,437
Machinery and Equipment	35,080	9,977	-	-	45,057
Transportation Equipment	-	13,024	-	-	13,024
	<u>\$ 79,850</u>	<u>\$ 223,815</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 303,665</u>

(a) Acquired for cash.

(b) Consists of \$286,869 acquired for cash and \$6,547 from consolidation of subsidiary.

(c) Assets related to disposal of subsidiary.

(d) Reclassification to equipment and materials held for resale in connection with discontinuation of manufacturing activities of registrant.

(e) Generally the rates of depreciation are 20% for furniture and fixtures, 10% for machinery and equipment, 20% to 33% for transportation equipment, 33% for video game equipment and 10% for leasehold improvements.

ANNANDALE CORPORATION

SCHEDULE VI - ACCUMULATED DEPRECIATION AND AMORTIZATION
OF PROPERTY, PLANT AND EQUIPMENT

Column A Classification	Column B Balance at Beginning of Period	Column C Additions at Cost	Column D Retirements	Column E Other Changes Add (deduct)	Column F Balance at End of Period
Year ended March 31, 1983:					
Furniture and Fixtures	\$ 23,159	\$ 5,613	\$ 12,492	\$ (1,281)	\$ 14,999
Machinery and Equipment	12,372	4,993	14,401	(1,495)	1,469
Transportation Equipment	3,894	5,521	6,207	(552)	2,656
Video Game Equipment	49,406	50,484	99,890	-	-
Leasehold Improvements	313	-	-	(313)	-
	<u>\$ 89,144</u>	<u>\$ 66,611</u>	<u>\$ 132,990</u>	<u>\$ (3,641)(a)</u>	<u>\$ 19,124</u>
Year ended March 31, 1982:					
Furniture and Fixtures	\$ 16,013	\$ 7,146	\$ -	\$ -	\$ 23,159
Electronic Game Equipment	10,858	-	-	(10,858)	-
Machinery and Equipment	6,197	6,175	-	-	12,372
Transportation Equipment	552	3,342	-	-	3,894
Video Game Equipment	-	49,406	-	-	49,406
Leasehold Improvements	-	313	-	-	313
	<u>\$ 33,620</u>	<u>\$ 66,382</u>	<u>\$ -</u>	<u>\$ (10,858)(b)</u>	<u>\$ 89,144</u>
Year ended March 31, 1981:					
Furniture and Fixtures	\$ 10,434	\$ 5,579	\$ -	\$ -	\$ 16,013
Electronic Game Equipment	-	10,858	-	-	10,858
Machinery and Equipment	2,043	4,154	-	-	6,197
Transportation Equipment	-	552	-	-	552
	<u>\$ 12,477</u>	<u>\$ 21,143</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 33,620</u>

(a) Accumulated depreciation and amortization related to disposal of subsidiary.

(b) Reclassification in connection with discontinuation of manufacturing activities of the registrant.

ANNANDALE CORPORATION
SCHEDULE XIII - OTHER INVESTMENTS

Column A	Column B	Column C	Column D	Column E
Name of issuer and title of each issue (b)	Number of shares or units - principal amount of bonds and notes	Cost of each issue	Market Value of each issue at balance sheet date	Amount at which each portfolio of equity security issues and each other security issue carried in the balance sheet
March 31, 1983:				
Chancellor Computer Centers, Inc. Common Stock	150,000	\$ 7,500	\$ 7,500	\$ 7,500
Schuchardt Software Systems Common Stock	55	2,750	2,750	2,750
Innovative Entertainment, Inc. Common Stock	10,000	1,500	1,500	1,500
Financial News Network, Inc. Common Stock	200,000	400,000	900,000(a)	400,000
Alphacom, Inc. Common Stock	200,000	-	-	-
Alphacom, Inc. Warrants	210,000	-	-	-
		<u>\$ 411,750</u>	<u>\$ 911,750</u>	<u>\$ 411,750</u>
March 31, 1982:				
Financial News Network Common Stock	150,000	\$ 300,000	\$ 300,000	\$ 300,000
Alphacom, Inc. Common Stock	200,000	-	-	-
Alphacom, Inc. Common Stock	210,000	-	-	-
		<u>\$ 300,000</u>	<u>\$ 300,000</u>	<u>\$ 300,000</u>

(a) Represents market value of publicly traded shares at balance sheet date.

(b) None of the shares are registered under the Securities Act of 1933.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the Registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

ANNANDALE CORPORATION

Date: 6/28/83

By:

R. Bruce Stewart
President and Treasurer

Pursuant to the requirements of the Securities Exchange Act of 1934, this report signed below by the following persons on behalf of the Registrant and in the capacities and on the dates indicated.

R. Bruce Stewart

President, Treasurer and
Director (Principal Ex-
ecutive Officer)

June 28, 1983

Thomas R. Spiel
Thomas R. Spiel

Director

June 28, 1983

F. Rigdon Currie

Director

June , 1983

William F. Rinehart

Director

June 28, 1983

END